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Equity Group HY'24 Earnings Note

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Equity Group Holdings HY'24 Earnings Note

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Ticker Information	
NSE Code:	EQTY
Issued Shares (Bn):	3.77
52-week high:	KES 49.20
52-week low:	KES 33.65

Recommendation	Current Price	Target Price
BUY	**KES 40.50**	**KES 45.90**

Summary

- **Equity Group Holdings demonstrated robust financial performance in the first half of 2024, with net earnings climbing 12.5% y/y to KES 29.62Bn.** The growth was driven by a 17.2% increase in operating income, though this was partially offset by a steeper 21.7% y/y surge in pre-provision operating expenses. Net interest margins widened marginally to 7.5% attributable to higher reinvestment yields which outpaced the rising cost of funds in the current economic landscape. Trailing return on equity declined 520bps to 22.7% while trailing return on assets declined 40bps to 2.8%.

Key Highlights

- **Resilient Margins:** Net Interest Income surged by 17.2% y/y to KES 54.36Bn driven by a surge in yields from investment securities and customer assets. Non-Funded Income matched this growth rate, increasing by 17.2% to KES 42.78Bn bolstered by increased fees and commissions from trade finance. The average yield on interest-earning assets paced up 130bps y/y to 11.8% reflecting higher reinvestment returns. However, this gain was partially offset by a 90bps y/y increase in the cost of funds to 4.2%, a result of the prevailing high interest rate landscape. Consequently, net interest margin widened 50bps to 7.5%.
- **Rising Credit Delinquencies:** Gross Non-Performing Loans (NPLs) soared by 23.0% y/y to KES 119.91Bn – quickening a 280bps y/y rise in the gross NPL ratio to 14.3%. This rise was driven by significant concentration losses within the loan portfolio. NPL coverage was raised by 27.2% y/y to 81.7%. In response to the heightened credit risk, management boosted credit impairment provisions by 48.3% y/y to KES 10.52Bn- reflecting a cautious stance amid growing pressure on asset quality.

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	-6.3%	-8.2%	7.1%	-0.5%

Source: NSE, AIB-AXYS Research

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Balance Sheet Dynamics

Customer deposits grew 10.6% to KES 1,299.48bn driven by aggressive mobilization efforts in Equity Rwanda, Equity BCDC and Equity Kenya which saw deposits grow 28%, 15% and 15% respectively. However, the loan book contracted by 3.2% y/y to KES 791.12Bn, largely due to a reduction in the loan portfolio in Equity Uganda. The Group's credit distribution became more diversified, with subsidiaries contributing 46% of all loans extended. Management trimmed its holding of government securities by 5.4% y/y to KES 459.23Bn. Despite the prevailing high-yield environment, the Group effectively managed duration risk in its fixed-income portfolio, converting fair value losses on investment securities into a gain of KES 12.71 Bn.

Pressurized Operating Efficiency

The Cost-to-Income ratio (excluding loan-loss provisions) deteriorated as reflected by the 190bps y/y increase to 50.9%. Operating incomes soared considerably across subsidiaries led by Equity South Sudan which posted a remarkable 48% jump in revenue. Collectively, subsidiaries accounted for 55% of the group revenue and 58% of pre-provisions operating profits. Pre-provision operating expenses on the other hand soared 21.7% y/y attributed to investments in human capital and digital infrastructure. The bulk of the cost pressures emerged from Equity Rwanda and Equity South Sudan which posted 51% y/y an 29% y/y growth in pre-provision expenses respectively.

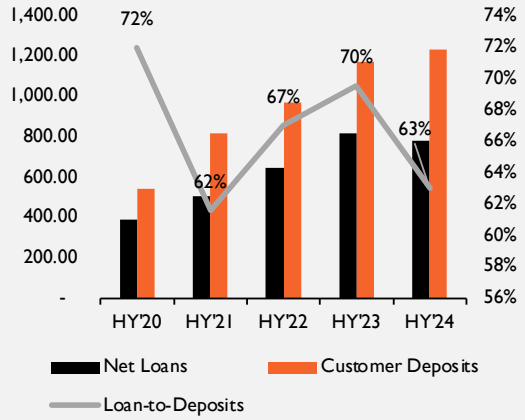
Outlook

We anticipate Equity Group's innovative tri-engine business model, executed through a holistic ecosystem approach supporting entire value chains and households, to be a key growth driver, enhancing customer loyalty, increasing cross-selling opportunities, and capturing a larger share of customer wallets through its comprehensive financial ecosystem.

Recommendation

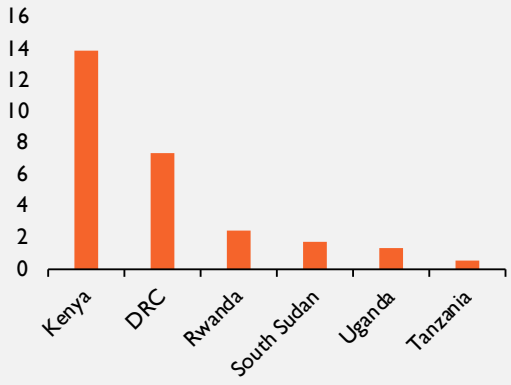
- **We maintain our *BUY* recommendation on Equity Group Holdings underpinned by robust operational performance across its subsidiaries.** At the current market price, the stock is trading at P/E ratio of 2.8x and a P/B ratio of 0.7x. Our one-year target price for Equity Group Holdings currently stands at KES 45.90 - representing a c.13.0% upside potential from current levels.

Chart 2: Faster Deposit Mobilization



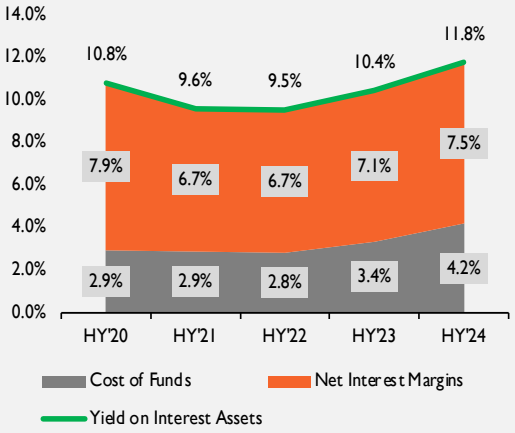
Source: Company filings, AIB-AXYS Research.

Chart 3: Regional Revenue Generation (KES Bn)



Source: Company filings, AIB-AXYS Research.

Chart 4: Widening Net Interest Margin



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Mn)	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y change
Net Interest Income	24,635.2	31,154.7	39,803.8	46,390.1	54,355.7	▲ 17.2%
Non-Interest Income	14,400.2	20,767.1	25,844.5	36,490.4	42,784.3	▲ 17.2%
Total Operating income	**39,035.5**	**51,921.7**	**65,648.3**	**82,880.4**	**97,140.0**	▲ 17.2%
Provision for Impairment	(8,022.3)	(2,912.5)	(4,087.0)	(7,095.6)	(10,520.0)	▲ 48.3%
Total Operating expenses	(27,058.0)	(28,090.7)	(34,730.4)	(47,718.6)	(59,968.3)	▲ 25.7%
Profit before tax	11,977.5	23,831.0	30,917.9	35,161.8	37,171.7	▲ 5.7%
Profit after tax	**9,077.1**	**17,942.5**	**24,430.5**	**26,328.3**	**29,618.0**	▲ 12.5%
Trailing EPS	5.20	7.68	12.34	12.72	12.46	▲ 3.1%

Balance Sheet (KES Mn)	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y change
Government Securities	181,244.7	315,497.4	365,023.1	485,643.1	459,219.9	▼ (5.4%)
Loans and Advances	391,633.2	504,848.6	650,556.5	817,186.4	791,116.8	▼ (3.2%)
Total Assets	**746,469.1**	**1,119,737.2**	**1,333,860.9**	**1,644,786.8**	**1,746,030.5**	▲ 6.2%
Customer Deposits	543,893.9	819,684.1	970,942.9	1,175,252.1	1,299,484.0	▲ 10.6%
Total Liabilities	623,109.0	964,663.7	1,183,473.9	1,450,454.6	1,525,515.9	▲ 5.2%
Total Equities and Liabilities	**746,469.1**	**1,119,737.2**	**1,333,860.9**	**1,644,786.8**	**1,746,030.5**	▲ 6.2%

Ratio Analysis	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y change
Spreads Analysis						
Yield on Assets	10.8%	9.6%	9.5%	10.4%	11.8%	▲ 1.3%
Cost of Funds	2.9%	2.9%	2.8%	3.4%	4.2%	▲ 0.9%
Net Interest Margin	7.9%	6.7%	6.7%	7.1%	7.5%	▲ 0.5%
ROaE	17.5%	20.9%	30.5%	27.8%	22.7%	▼ (5.2%)
ROaA	2.8%	3.1%	3.8%	3.2%	2.8%	▼ (0.4%)
Profit Margin	23.3%	34.6%	37.2%	31.8%	30.5%	▼ (1.3%)
Operating Efficiency						
Cost to Income Less LLP	48.8%	48.5%	46.7%	49.0%	50.9%	▲ 1.9%
Cost to Assets Less LLP	2.7%	2.7%	2.5%	2.7%	2.9%	▲ 0.2%
Loan to Deposit	72.0%	61.6%	67.0%	69.5%	60.9%	▼ (8.7%)
Asset Quality						
Gross NPL Ratio	11.2%	11.6%	9.0%	11.4%	14.3%	▲ 2.8%
NPL Coverage	48.5%	63.2%	64.1%	54.5%	81.7%	▲ 27.2%
Cost of Risk	2.0%	0.6%	0.6%	0.9%	1.3%	▲ 0.5%
Capital Adequacy						
Core Capital/TRWA	16.9%	14.0%	15.5%	15.0%	15.8%	▲ 0.8%
Total Capital /TRWA	20.2%	17.5%	20.2%	19.0%	18.4%	▼ (0.6%)
Liquidity	54.2%	55.7%	53.2%	51.1%	56.7%	▲ 5.6%



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